Apple, Inc | **USA | Technology | Technology Equipment**

Company Overview

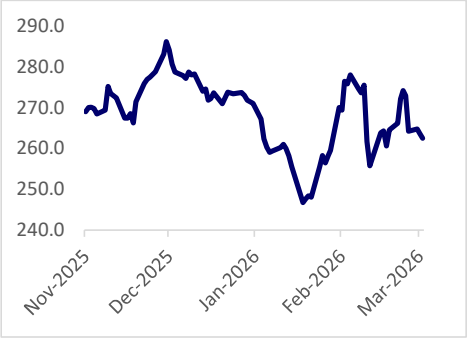
Apple Inc. (Apple) designs, manufactures, and markets smartphones, personal computers, tablets, wearables, and and accessories and sells a range of related services. The company'sproducts include iPhone (50% of FY25 revenue), Mac (8%), iPad (7%), wearables, home, and accessories (9%) like AirPods, Apple TV, Apple Watch, HomePod, and an online services business (26%).

Financial Summary	Oct-24 A	Oct-25 A	Oct-26 E	Oct-27 E
(USD 'Millions)				
Sales	$ 3,91,035	$ 4,16,161	$ 4,43,442	$ 4,73,669
Sales Growth *(YoY %)*	*2.0%*	*6.4%*	*6.6%*	*6.8%*
Gross Profit Margins *(%)*	*46.2%*	*46.9%*	*47.6%*	*49.0%*
EBITDA Margins *(%)*	*34.4%*	*34.8%*	*37.3%*	*35.7%*
EBIT Margins (%)	*31.5%*	*32.0%*	*32.4%*	*33.8%*
Net Profit Margins *(%)*	*24.0%*	*26.9%*	*26.6%*	*27.8%*
EPS *(in $)*	$ 6.11	$ 7.49	$ 6.79	$ 7.69
EPS Growth *(YoY %)*	*-0.8%*	*22.6%*	*-9.3%*	*13.2%*
Dividend Per Share *(YoY %)*	*99.2%*	*103.1%*	*108.7%*	*113.3%*
DPS Growth *(YoY %)*	*4.1%*	*4.0%*	*5.5%*	*4.2%*

Key Financial Data	
Ticker:	AAPL
Sector:	Technology
	Technology Equipment
Rating:	OVERVALUED
Market Cap (USDb):	40,09,935
Share Price (USD):	$ 271.9
Implied Price (USD):	$ 173.9
Volume (m.Share):	14,750
Debt / Equity (x):	1.23x

Key Financial Ratios	Oct-24 A	Oct-25 A	Oct-26 A	Oct-27 A
EV/EBITDA (x)	1.19x	1.15x	0.78x	0.85x
EV/Sales (x)	0.41x	0.40x	0.29x	0.30x
ROE *(%)*	*60.3%*	*74.0%*	*78.8%*	*88.2%*
ROCE *(%)*	*65.3%*	*68.7%*	*70.5%*	*77.2%*

Share Price - *(5M)*



Investment Overview

iPhone specification upgrades to drive premium model mix higher. We expect the launches of the ultra-thin iPhone 17 Air in 2025 and Apple's first foldable iPhone in 2026 to set new benchmarks in the smartphone market. Android manufacturers will likely follow suit, accelerating their own specification upgrades. We expect the users of iPhone to increase from 1.56B FY25 to 1.62B FY26, that's an increase of 4% *YoY* .

Sales growth in China fell by 4% Yoy FY25, whereas iPhone sales in Rest of Aisa Pacific increa- by 10% YoY FY25. The decline in sales growth in China was offset by higher Net sales of Mac.

DCF - (Forecast upto year FY29)

Terminal Value:	27,88,332
Enterprise Value:	25,23,541
Add: Cash:	35,934
Add: Invest. & Sec.:	96,486
Less: Debt:	(90,678)
PV of Equity:	25,65,283
Shares Outstanding:	14,750
Price per Share (USD):	**$ 173.92**

Risks

Apple Inc. faces significant risks from proposed and existing tariffs, primarily due to its heavy reliance on Chinese manufacturing (approx. 80–90% of iPhones), threatening annual cost increases of $8–18 billion. Potential impacts include severe pressure on profit margins, significantly higher U.S. consumer prices for devices, and stock volatility.

As of early 2026, Apple is diversifying its manufacturing, with China still producing the majority of products while India and Vietnam grow rapidly. Approximately 25% of iPhones are now manufactured in India, while China remains the primary base for iPhones, Macs, and iPads. Vietnam serves as a key hub for wearables like AirPods.

Disclaimer: The information contained in this document is intended only for educational purposes